Day Trading Mastery

Module 4 Study Guide

Risk Management Strategies

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Position Sizing and the Risk-Per-Trade Rule

In this lesson: Define position sizing; Set risk-per-trade percentage; Calculate risk amount; Der

Key points

- Define position sizing and its purpose
- Apply the 2 percent risk-per-trade rule
- Use a journal and checklist for every trade

Examples from the lesson

- You are enrolled in Day Trading Mastery, Module 4, Lesson 1 – Position Sizing and the Risk-Per-Trade Rule.
- The risk-per-trade rule is simple: you never risk more than a small, pre-defined percentage of your total account on one trade.
- Most professional traders use 2 percent as a maximum, but you can choose 1 percent if you prefer a more conservative approach.
- Suppose your account balance is TT$10,000 and you set risk per trade is 2 percent. Your risk amount equals TT$200. You plan to buy a local index future and you place your stop loss 50 points away from entry.
- The contract’s point value is TT$1 per point.
- Using the formula, position size equals TT$200 divided by (50 points × TT$1 per point), which works out to 4 contracts.
- A TTSE stock may move in cents, while a crude oil future could move in TT$0.10 increments.
- We introduced the risk-per-trade rule and showed how to calculate a risk amount from a 2 percent rule.
- We walked through a TT$10,000 account example, turning TT$200 risk into 4 contracts with a 50-point stop loss.
- Next up, Lesson 2 will explore Stop Losses, Targets, and Risk-to-Reward, where you’ll learn how to set profit targets that align with your risk and keep your trading plan balanced.

Lesson 2: Stop Losses, Targets, and Risk-to-Reward

In this lesson: Purpose of Stop Losses; Setting Realistic Profit Targets; Risk-to-Reward Ratio M

Key points

- Protective stop losses act like circuit breakers to prevent severe drawdowns @ "stop loss acts like a circuit breaker to protect"
- Profit targets locked at realistic chart levels secure gains predictably @ "profit targets must be set at realistic chart levels"
- Minimum one to two risk-to-reward ratio preserves long-term profitability @ "one to two risk-to-reward ratio protects your long-term"

Examples from the lesson

- We are in Module 4, Risk Management Strategies, and today’s focus is Lesson 2: Stop Losses, Targets, and Risk-to-Reward.
- In our last lesson, we mastered position sizing so you never risk more than one or two percent of your account on a single idea.
- To stay profitable over time, you should always aim for a minimum risk-to-reward ratio of one to two.
- That means for every TT$100 you put on the line, you stand to make at least TT$200 if the trade hits your target.
- A favorable ratio gives you a mathematical edge, allowing you to build account growth even if you lose half of your total trades.
- Imagine your trading account holds TT$20,000, and your strict risk rule is one percent per trade.
- That means your maximum allowable risk on any single trade is TT$200.
- You spot a high-probability stock trading at TT$50.00, and based on chart support, you place your protective stop loss down at TT$48.00.
- Your risk per share is the entry price of TT$50.00 minus the stop price of TT$48.00, which equals TT$2.00 per share.
- Dividing your TT$200 total risk by TT$2.00 risk per share gives your position size of exactly 100 shares.
- Since we demand a minimum one to two risk-to-reward ratio, your profit target must offer twice your share risk, or TT$4.00 of upside.
- Adding TT$4.00 to your TT$50.00 entry price gives a profit target of TT$54.00 per share.
- If the market moves against you and hits TT$48.00, your stop triggers instantly, leaving you with a controlled loss of TT$200.
- If the trade hits your target at TT$54.00, you collect a profit of TT$400 on that 100-share position.
- Finally, we calculated how a strict one to two risk-to-reward ratio protects your long-term growth even with a fifty percent win rate.
- Next up in Lesson 3, we will cover Daily Limits and Drawdown Control to protect your

mindset and capital when the market hits a bumpy patch.

Lesson 3: Daily Limits and Drawdown Control

In this lesson: Establish daily circuit breakers; Calculate TT$ loss limits; Execute hard stop rule

Key points

- Limit daily losses to two percent or TT$400 @ "setting a strict daily loss cap of two percent of"
- Stop trading immediately after four losing trades @ "If four trades lose TT$100 each, your circuit"
- Cut size in half upon ten percent drawdown @ "a ten percent overall drawdown rule forces you to cut"

Examples from the lesson

- We are in Module 4, Risk Management Strategies, and today we are covering Lesson 3: Daily Limits and Drawdown Control.
- Suppose you start your trading account with a capital balance of TT$20,000.
- A proven standard in professional risk management is setting a two percent daily drawdown cap based on your total account equity.
- Two percent of your TT$20,000 starting account balance equals exactly TT$400 for the day. That TT$400 is your absolute circuit breaker. Next, suppose you structure your trade size so that you risk TT$100 on each individual position using a disciplined stop loss.
- That means you have a maximum allowance of four losing trades before you reach your daily threshold.
- Imagine you open your morning trading session and take your first trade, but it hits your stop loss for a TT$100 loss.
- You reset, look for another setup, and take a second trade, which also loses TT$100.
- Then a third trade loses TT$100, and a fourth trade drops another TT$100.
- Your cumulative losses for the morning have now hit exactly TT$400.
- The moment your total losses reach TT$400, your rules dictate that you are finished trading for the rest of the day.
- You log off, secure your remaining TT$19,600 capital, and step away from the charts immediately.
- If your total account balance drops by ten percent overall—which is TT$2,000 from your original TT$20,000 balance—you hit your maximum weekly drawdown cap.
- When your account equity reaches TT$18,000, you immediately cut your position sizes in half until your execution improves.
- You come back tomorrow refreshed, with ninety-eight percent of your trading capital completely intact.
- You protect your capital by setting a strict daily loss cap of two percent of your account, which equals TT$400 on a TT$20,000 balance.

- If four trades lose TT$100 each, your circuit breaker trips, and you stop trading immediately for the day.
- Finally, a ten percent overall drawdown rule forces you to cut your position sizing in half to preserve your account.

Recap checklist — can you say each one?

Lesson 1: Position Sizing and the Risk-Per-Trade Rule

- ☐ Define position sizing and its purpose
- ☐ Apply the 2 percent risk-per-trade rule
- ☐ Use a journal and checklist for every trade

Lesson 2: Stop Losses, Targets, and Risk-to-Reward

- ☐ Protective stop losses act like circuit breakers to prevent severe drawdowns @ "stop loss acts like a circuit breaker to protect"
- ☐ Profit targets locked at realistic chart levels secure gains predictably @ "profit targets must be set at realistic chart levels"
- ☐ Minimum one to two risk-to-reward ratio preserves long-term profitability @ "one to two risk-to-reward ratio protects your long-term"

Lesson 3: Daily Limits and Drawdown Control

- ☐ Limit daily losses to two percent or TT$400 @ "setting a strict daily loss cap of two percent of"
- ☐ Stop trading immediately after four losing trades @ "If four trades lose TT$100 each, your circuit"
- ☐ Cut size in half upon ten percent drawdown @ "a ten percent overall drawdown rule forces you to cut"